

FOREWORD

In the fall of 1929, Alfred Cowles III had an ordinary, if rather large, problem. Ordinary because, like many other Americans, he had been badly hurt by the recent stock market crash. And large because, not only was he the heir to the *Chicago Tribune* fortune, but he also managed it.

A highly intelligent young man, he took his charge seriously, consuming as much written analysis from the nation's brokerage houses, insurance firms, and financial commentators as he could. Alas, it was in vain; none of them warned him of the impending crash. How could the country's brightest financial stars have been so uniformly wrong?

Cowles's response to the catastrophic stock market decline that wiped out nearly 90 percent of the stock market's value over the next three years, and the Great Depression that it ignited, has thundered down through the financial markets to this very day. Modern investors ignore the lessons learned by Cowles, and those who followed in his footsteps, at their own peril.

For what Cowles and his followers did was nothing less than remove finance from the realm of ignorance and superstition and place it on a scientific footing. With the help of the nation's foremost economists, he founded the Econometric Society, and, along with the legendary Benjamin Graham, who had been similarly affected by the 1929 crash, he began to collect and analyze financial data in the most detailed and thoroughgoing way possible. In effect, he, and those who have followed him in the seven decades since, took investing away from the astrologers and the charlatans and gave it to the astronomers and physicists. (This is, in some cases, quite literally true: many of the finest minds of modern finance began their careers in the physical sciences.)

Unfortunately, when you pick up a financial magazine, watch CNBC, or call your broker, you've just traveled back to the pre-1929 era. In fact, you've just accomplished the financial equivalent of betting the farm on the daily horoscope or of taking a rare cancer to a doctor whose main source of recent medical knowledge is *USA Today*.